

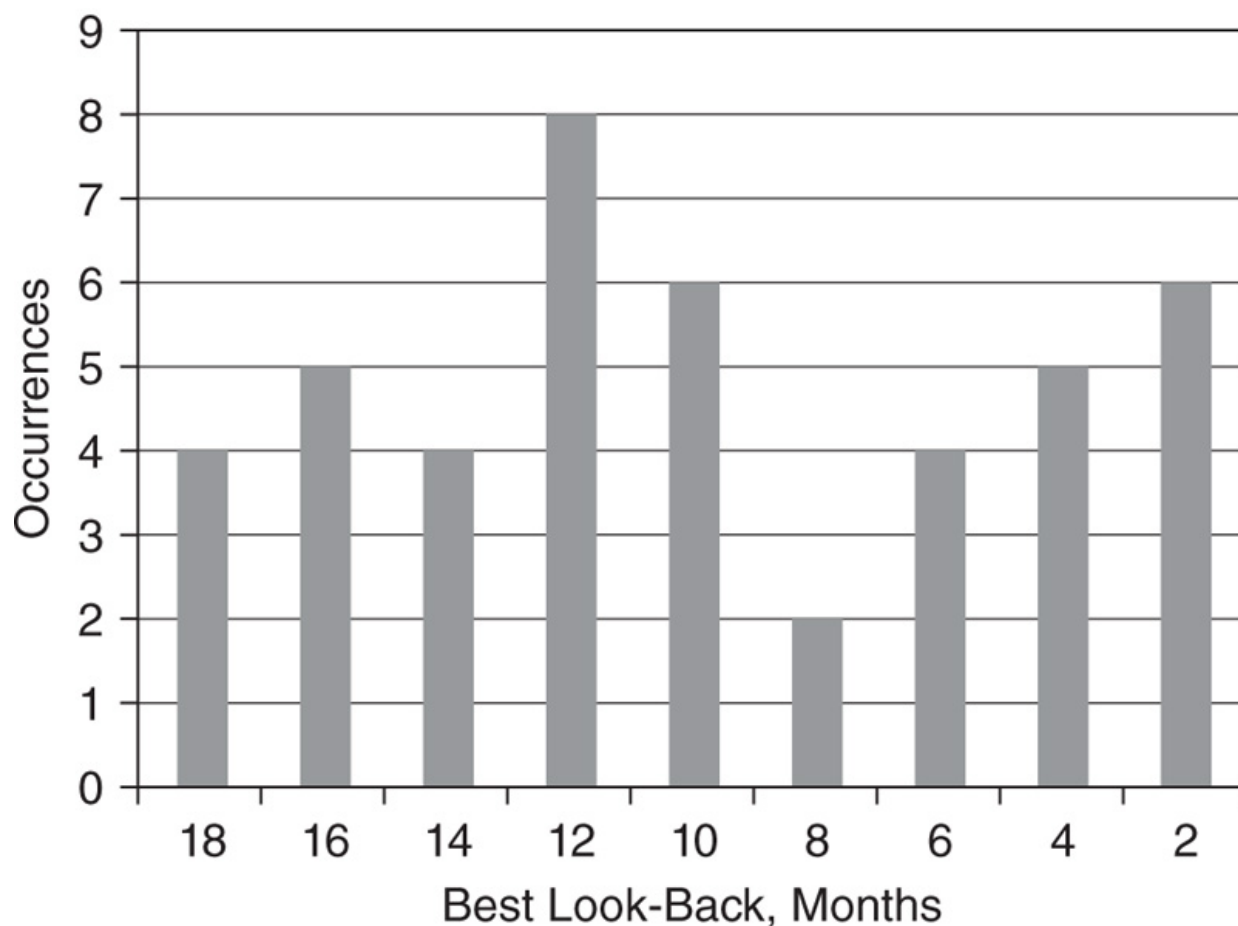


Figure B.1 Best Formation Periods, 1974–2012

Both our aggregated and segmented results coincide with the best formation periods of relative momentum, which extend from 3 to 12 months and cluster at 12 months (Jegadeesh and Titman 1993).² Many momentum research papers use a 12-month formation period with a one-month holding period as a benchmark strategy for research purposes. Given its dominance here and throughout the literature, we also use a 12-month formation period as our benchmark strategy. This should minimize transaction costs and the risk of data snooping.

ABSOLUTE MOMENTUM CHARACTERISTICS